The Hong Kong Car Buyer Guide

First Registration Tax, licences, parking, and whether buying is worth it

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First Registration Tax, post-concession EV economics, and the parking reality nobody warns you about

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A short honest introduction

A colleague in Central once told me that the cheapest way to own a car in Hong Kong is to not own a car in Hong Kong. He wasn't being flippant — after five years living and driving in Hong Kong, I've come round to his view for about 80% of expats I meet.

For the other 20%, this guide is for you.

Hong Kong is a strange car market. The First Registration Tax (FRT) is one of the highest in the world. Parking in central districts is not just expensive but genuinely scarce. The driving test pass rate for first-time applicants is around 25-30%. And the EV landscape just went through a tectonic shift on 31 March 2026 when the FRT concession for private EVs expired.

This guide covers the five things you actually need to understand before you buy a car in Hong Kong in 2026:

1. How FRT is calculated and what it does to the real purchase price 2. What the 31 March 2026 EV concession expiry means for your maths 3. Licence conversion for UK expats 4. The parking question, which matters more than the car question 5. How to move the money across without giving 3% to a high-street bank

It's written for British expats who've just arrived or are about to arrive. It's honest about costs because the honest cost is higher than you've been told. And it's grounded in the 2026 reality, not the pre-concession-expiry numbers that are still floating around online.

— Patrick

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Part 1: Understanding First Registration Tax

Every new private car registered in Hong Kong is subject to FRT, which is charged as a percentage of the "Taxable Value" — essentially the published list price plus fitted accessories. The percentage is tiered and **verify the current FRT tiers with the Hong Kong Transport Department** before committing to any purchase, as these rates have been adjusted in past budgets.

As of current publication, the private car FRT tiers are approximately:

- 46% on the first HK$150,000 of taxable value
- 86% on the next HK$150,000
- 115% on the next HK$200,000

- 132% on anything above HK$500,000

■■ Verify at publish: these percentages and bands should be checked against the HK Transport Department schedule before you commit to a purchase. The tiers were adjusted in past Hong Kong budgets.

Put that into practice on a Toyota Corolla Cross with a taxable value of HK$280,000:

- First tier: 46% × HK$150,000 = HK$69,000
- Second tier: 86% × HK$130,000 = HK$111,800
- **Total FRT: HK$180,800**

So a car with a list price of HK$280,000 has a true purchase cost of HK$460,800 before you've paid for a single drop of petrol, a single parking space, or the first year's third-party insurance.

On a Tesla Model Y with a taxable value of HK$450,000 (taking a mid-range configuration for example only):

- First tier: 46% × HK$150,000 = HK$69,000
- Second tier: 86% × HK$150,000 = HK$129,000
- Third tier: 115% × HK$150,000 = HK$172,500
- **Total FRT: HK$370,500**

Purchase price including FRT: approximately HK$820,500. This is the number that makes British expats realise Hong Kong's car market is its own country.

Part 2: The 31 March 2026 EV concession expiry — what it actually means

Between 2018 and 31 March 2026, Hong Kong ran a significant FRT concession for private EVs ("One-for-One Replacement Scheme" and a parallel first-registration concession for new buyers). Under those schemes, a private EV buyer could apply to have FRT waived up to a cap — in practice this brought Tesla Model 3 and Model Y FRT down to zero or near-zero for eligible buyers.

The private EV FRT concession expired on 31 March 2026. Private EVs registered on or after 1 April 2026 pay standard FRT on the full taxable value. The schemes have not been extended — verify this with the Environmental Protection Department and Transport Department before any purchase decision.

What this means practically:

- A Tesla Model Y registered in March 2026 paid very little FRT
- A Tesla Model Y registered in April 2026 pays the full HK$370,500-ish calculated above
- That is a swing of several hundred thousand HKD on exactly the same car, dependent only on the registration date

Commercial EVs, electric motorcycles, and electric tricycles have a separate FRT concession that runs until 31 March 2028 — so if you're buying a commercial van or a scooter, the economics are still different. **Verify with the Transport Department** before assuming.

Is a Tesla still rational in post-concession Hong Kong?

This is the question every expat asks me and there's no single answer. The short version:

- If you paid for a Tesla under the concession, yes — your unit economics are still good and you should run it for its full life

- If you're buying a new Tesla in 2026 after the concession, the comparison to a petrol equivalent (Toyota RAV4, Honda CR-V) has tightened significantly
- For a ~HK$450,000 list price EV, the total cost of ownership over 6 years is now roughly comparable to a petrol equivalent once you factor in charging costs, insurance, and resale — the EV's fuel saving is real but the upfront FRT gap is now too big to close purely on running costs
- For a lower-price EV (sub-HK$300,000 taxable value), the FRT hit is smaller and the economics are still workable

The uncomfortable truth is that the end of the concession has moved the rational EV decision from "obvious yes" to "depends on your specific usage pattern". If you're doing 20,000+ km per year and you have home charging, the EV case still holds. If you're doing <8,000 km per year and charging at public stations, the petrol case has genuinely caught up.

Part 3: Licence conversion for UK expats

UK drivers in Hong Kong have an easier path than in most jurisdictions because the UK is on the **Approved Country list** for direct licence conversion. This means you can exchange a valid UK driving licence for a Hong Kong driving licence without taking a practical test, provided you meet the conditions.

The conditions are:

- You must hold a full (not provisional) UK licence
- You must apply within the prescribed window after becoming a Hong Kong resident — **verify the current window with the Transport Department**, as the rules have been tightened in the past
- You must pay the application fee
- You must pass an eye test

The process:

1. Obtain a Hong Kong ID card (a prerequisite for almost all official paperwork) 2. Apply at a Transport Department Licensing Office — you can book an appointment online or walk in 3. Bring your passport, HK ID, full UK licence, recent passport photos, and the application fee in cash 4. Take the eye test on the spot 5. Collect your HK driving licence by post in 5-10 working days

This is probably the single smoothest piece of Hong Kong admin any British expat will experience. Do it in your first month while everything else is chaotic — it removes one future friction point.

Part 4: The parking question, which matters more than the car question

I'm putting this before the insurance section because it's the single biggest mistake I see British expats make in their first Hong Kong car purchase. People obsess over the car and treat parking as a problem they'll solve later. In Hong Kong you solve parking first, car second, because without a parking answer the car is worthless.

The numbers:

- Residential parking in Central/Mid-Levels buildings: often HK$5,000-12,000 per month for a space if available at all
- Residential parking in Kowloon/NT/outlying areas: HK$2,000-6,000 per month

- Commercial parking in Central: HK$40-80 per hour for short stays
- Monthly commercial parking near major commercial districts: HK$5,000-10,000
- Many older buildings have no residential parking at all — zero

The three buildings rule:

Before you commit to buying a car, check three things about your actual building:

1. **Does your building have residential parking?** Older walk-up tenement buildings typically don't. Even newer apartment blocks vary — some have parking only for owners, some have a first-come first-served waiting list, some have a separate rental market for parking. 2. **Is a space available to you?** "Yes, we have parking" and "yes, you can have a parking space" are different sentences in Hong Kong real estate. Clarify before you sign. 3. **What's the actual monthly cost?** And is it fixed for your lease term?

If the answers to any of the above are unclear, get clarity in writing before you buy a car. I have watched two British families buy cars they then had to park in commercial structures at HK$7,000/month for the entire time they were in Hong Kong because they didn't clarify the residential parking situation.

The uncomfortable alternative:

For many expats in Central, Mid-Levels, and Admiralty, the honest answer is "don't own a car" because:

- Taxi and MTR coverage is excellent
- Grab/Uber alternatives are well-developed
- The car would spend 90% of its time stationary in a HK$7,000/month parking space
- Hire cars are cheap for weekends
- Cross-border trips can be done by train or hire car

If your weekly usage is less than about 3 trips, the real comparison is not "which car should I buy" but "do I need to own a car at all". Be honest about this before spending HK$450,000 on a Tesla.

Part 5: Moving GBP into HKD without losing thousands

The HKD is pegged to the USD, which means the GBP/HKD rate tracks the GBP/USD rate with a small offset for the peg. This removes some of the currency stress that Singapore or UAE expats have to manage — the HKD is relatively stable against the dollar, and therefore against your UK savings when measured in dollar terms.

That said, the moment of transfer still matters, because the "spread" — the difference between the real interbank rate and the rate your bank gives you — is where UK high-street banks make their money on expat transfers.

UK high-street SWIFT wire to HKD:

- Typical spread: 2-4% on the mid-market rate
- SWIFT fee: £25-40 per transfer
- Intermediary bank fee: variable, sometimes applied on arrival
- Double-conversion risk: if you wire GBP and the correspondent bank converts GBP→USD→HKD, you pay two spreads, not one

On a £40,000 transfer for a car deposit, that can easily be a £1,200-£2,400 loss compared to the real rate.

[Wise](WISE*LINK*PLACEHOLDER) to HKD:

- Mid-market rate with a transparent fee
- Typical total cost: 0.4-0.6% of the transfer amount
- No hidden intermediary fees
- No surprise double-conversion

On the same £40,000 transfer, Wise's total cost is usually under £300.

That's a saving of £900-£2,100 on a single transfer. And most expats make more than one.

I use Wise for every GBP-to-HKD move I need — car deposit, school fees, rental deposit, general top-ups. Over my time in Hong Kong I've saved a comfortable four-figure sum just by using the right tool.

We earn a small commission from the link above at no cost to you. We only recommend tools we use ourselves.

Practical tip for car purchases specifically: don't transfer the full deposit in one go on the day you sign. Open the Wise account early (while you're still UK-resident if possible), verify ID, and start moving money across in 2-3 tranches over a couple of weeks. This averages out any short-term rate noise and gives you the HKD balance ready in your account when the dealer asks for it.

Part 6: The 10-item Hong Kong pre-purchase checklist

Before you sign anything, tick every box on this list:

- ☐ Full FRT calculated using the current tiers and the specific car's taxable value
- ☐ Licence converted from UK full to Hong Kong full (do this first)
- ☐ Residential parking confirmed, in writing, with monthly cost fixed for your lease term
- ☐ If EV: confirmed the concession status (private EV concession expired 31 March 2026)
- ☐ Insurance quote from two insurers in writing, not website estimates
- ☐ Annual running cost calculated honestly (fuel/electricity, parking, insurance, maintenance, cross-harbour tunnels)
- ☐ Three-year total cost of ownership compared to a car lease alternative
- ☐ Three-year total cost of ownership compared to "don't own a car, take taxis/MTR"
- ☐ [Wise](WISE*LINK*PLACEHOLDER) account open and funded for the GBP→HKD transfer
- ☐ Second family member has driven the route you'll commute on — some Hong Kong roads are harder to drive than others and the test drive matters

Final word from Patrick

Hong Kong rewards people who think carefully before they buy and punishes people who don't. The honest maths on ownership here is tighter than almost any other major expat city in the world, and for a meaningful proportion of British expats in Central and Mid-Levels, the right answer is genuinely "don't own a car".

For the rest of you, the five things that actually matter are: (1) FRT calculation on the specific car you want, (2) the post-March-2026 EV concession reality, (3) confirmed residential parking, (4) a realistic three-year total cost, and (5) the right tool for moving your money across. If those five are locked down before you sign the sales agreement, you've done the work.

Good luck. Reach out if you want a sanity check on a specific quote — I read every reply to the welcome email, and I've almost certainly been in the same showroom asking the same questions.

— Patrick *ExpatAutoAdviser.com*

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